

Why is it that you never participated in your corporation's tax-advantaged stock purchase plan?

This manager's employer offered him a matching stock purchase plan. Each year the manager could purchase the equivalent of 6 percent of his income in shares of the corporation, which would reduce his realized taxable income. Also, the corporation would match his purchase of company stock up to a certain percentage of his income.

Mr. Rodney reported that, unfortunately, he could not afford to participate. It seemed that all his income went toward his \$4,200 monthly mortgage payment, two leased vehicles, tuition bills, club dues, a vacation home that needed to be fixed up, and taxes.

Ironically, Mr. Rodney wants "eventually to become financially independent." But like most UAWs, Mr. Rodney is not realistic in this regard. He has sold his financial independence. What if he had taken full advantage of the tax-advantaged benefit from the time he was first employed? Today he would be a millionaire. Instead, he is on the perpetual earn-and-consume treadmill.

We have interviewed countless high-income/low-net worth people. Sometimes it can be depressing, especially when the respondents are seniors. How would you like to be a sixty-seven-year-old cardiologist who has:

No pension plan ... never had a pension plan

in spite of earning millions during his lifetime? His total net worth is less than \$300,000. No wonder he started asking us questions such as:

Will I ever be able to retire?

Even more revealing are the interviews we hold with the widows of UAWs. In many cases, the widow has been a housewife throughout her long marriage. Often her mate, a high-income/low-net worth type, was underinsured or had no life insurance at all.